

TAXATION, GST, FINANCE COMMISSION AND FISCAL FEDERALISM

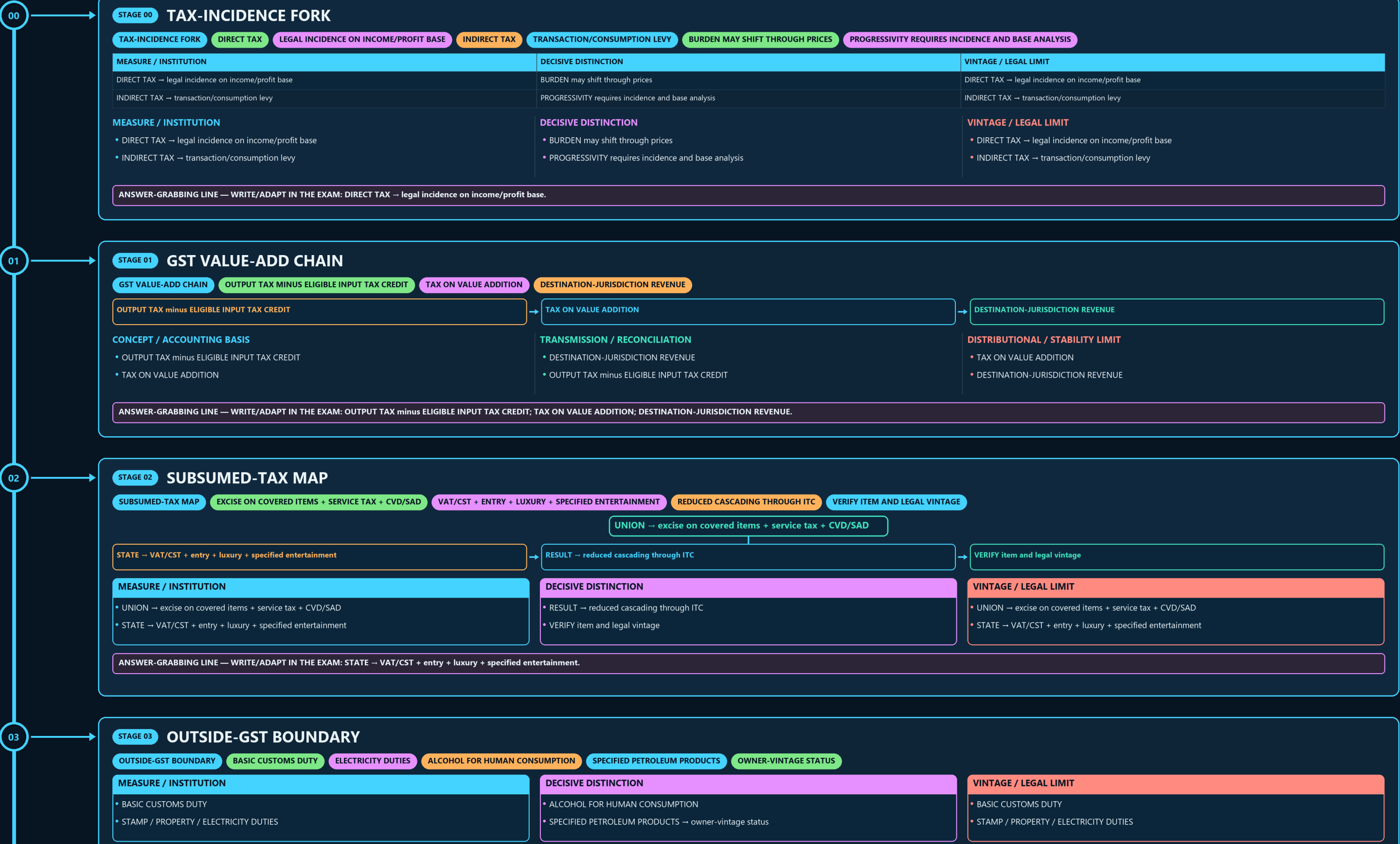
TAX-INCIDENCE FORK → GST VALUE-ADD CHAIN → SUBSUMED-TAX MAP → OUTSIDE-GST BOUNDARY → GST COUNCIL VOTING BOARD → INTER-STATE SETTLEMENT RAIL

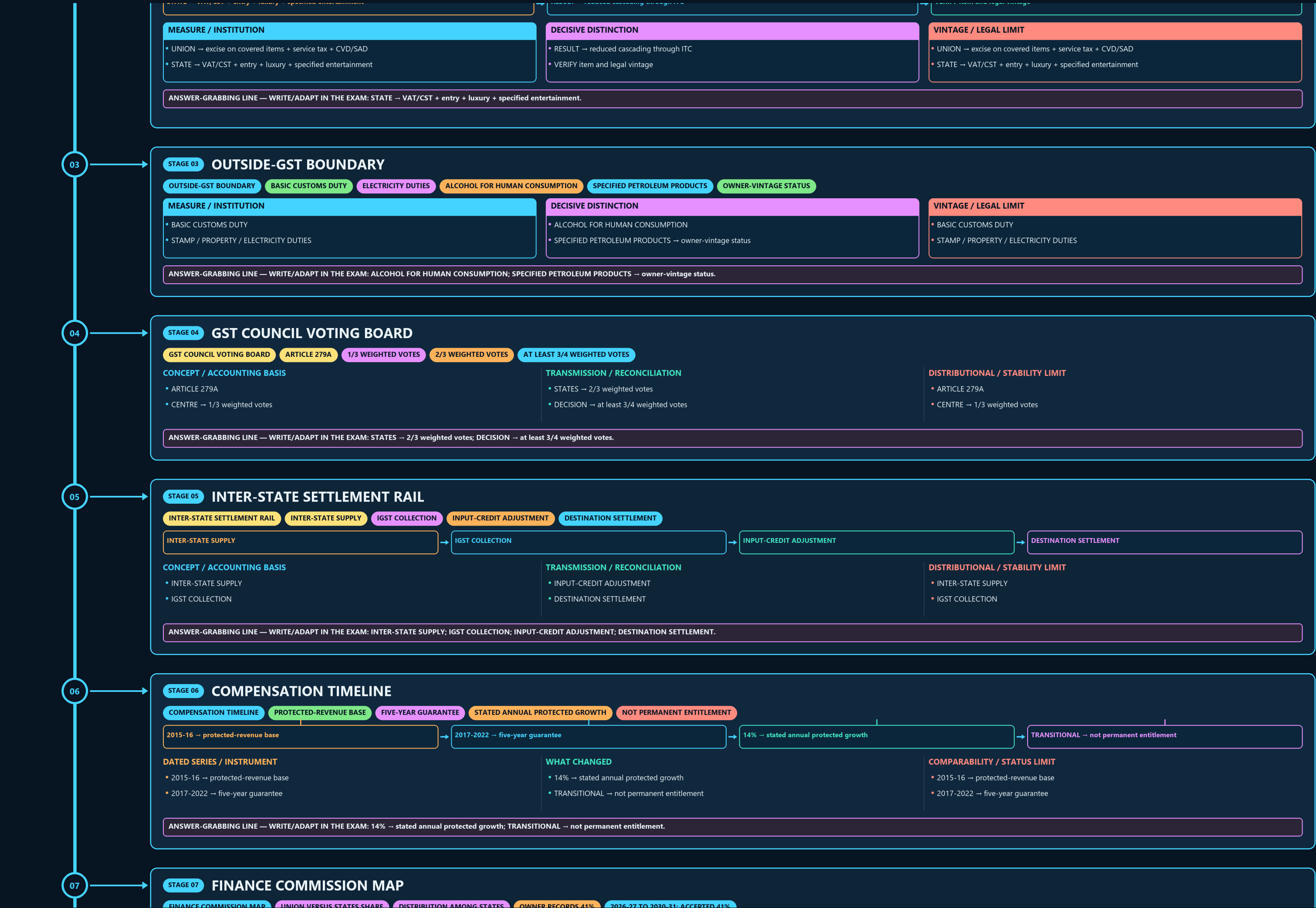
Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g1 • explicit approval of this exact generation is required • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles





05

STAGE 05

INTER-STATE SETTLEMENT RAIL

INTER-STATE SETTLEMENT RAIL

INTER-STATE SUPPLY

IGST COLLECTION

INPUT-CREDIT ADJUSTMENT

DESTINATION SETTLEMENT

INTER-STATE SUPPLY

IGST COLLECTION

INPUT-CREDIT ADJUSTMENT

DESTINATION SETTLEMENT

CONCEPT / ACCOUNTING BASIS

- INTER-STATE SUPPLY
- IGST COLLECTION

TRANSMISSION / RECONCILIATION

- INPUT-CREDIT ADJUSTMENT
- DESTINATION SETTLEMENT

DISTRIBUTIONAL / STABILITY LIMIT

- INTER-STATE SUPPLY
- IGST COLLECTION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INTER-STATE SUPPLY; IGST COLLECTION; INPUT-CREDIT ADJUSTMENT; DESTINATION SETTLEMENT.

06

STAGE 06

COMPENSATION TIMELINE

COMPENSATION TIMELINE

PROTECTED-REVENUE BASE

FIVE-YEAR GUARANTEE

STATED ANNUAL PROTECTED GROWTH

NOT PERMANENT ENTITLEMENT

2015-16 → protected-revenue base

2017-2022 → five-year guarantee

14% → stated annual protected growth

TRANSITIONAL → not permanent entitlement

DATED SERIES / INSTRUMENT

- 2015-16 → protected-revenue base
- 2017-2022 → five-year guarantee

WHAT CHANGED

- 14% → stated annual protected growth
- TRANSITIONAL → not permanent entitlement

COMPARABILITY / STATUS LIMIT

- 2015-16 → protected-revenue base
- 2017-2022 → five-year guarantee

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 14% → stated annual protected growth; TRANSITIONAL → not permanent entitlement.

07

STAGE 07

FINANCE COMMISSION MAP

FINANCE COMMISSION MAP

UNION VERSUS STATES SHARE

DISTRIBUTION AMONG STATES

OWNER RECORDS 41%

2026-27 TO 2030-31: ACCEPTED 41%

06

STAGE 06

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07

STAGE 07

FINANCE COMMISSION MAP

FINANCE COMMISSION MAP

UNION VERSUS STATES SHARE

DISTRIBUTION AMONG STATES

OWNER RECORDS 41%

2026-27 TO 2030-31; ACCEPTED 41%

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
VERTICAL → Union versus states share	XV-FC → owner records 41%	VERTICAL → Union versus states share
HORIZONTAL → distribution among states	XVI-FC → 2026-27 to 2030-31; accepted 41%	HORIZONTAL → distribution among states

MEASURE / INSTITUTION

VERTICAL → Union versus states share

HORIZONTAL → distribution among states

DECISIVE DISTINCTION

XV-FC → owner records 41%

XVI-FC → 2026-27 to 2030-31; accepted 41%

VINTAGE / LEGAL LIMIT

VERTICAL → Union versus states share

HORIZONTAL → distribution among states

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: XV-FC → owner records 41%; XVI-FC → 2026-27 to 2030-31; accepted 41%.

08

STAGE 08

DIVISIBLE-POOL BOUNDARY

DIVISIBLE-POOL BOUNDARY

ORDINARY SHAREABLE UNION TAXES

DIVISIBLE POOL

DISTINCT TREATMENT

FEDERAL EFFECT

STATE UNTIED-SPACE CONCERN

ORDINARY SHAREABLE UNION TAXES

DIVISIBLE POOL

CESSES / SURCHARGES → distinct treatment

FEDERAL EFFECT → state untied-space concern

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
ORDINARY SHAREABLE UNION TAXES	CESSES / SURCHARGES → distinct treatment	ORDINARY SHAREABLE UNION TAXES
DIVISIBLE POOL	FEDERAL EFFECT → state untied-space concern	DIVISIBLE POOL

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CESSES / SURCHARGES → distinct treatment; FEDERAL EFFECT → state untied-space concern.

09

STAGE 09

ADMINISTRATION AND ENFORCEMENT

ADMINISTRATION AND ENFORCEMENT

UNION DIRECT TAXES

CBIC + STATE ADMIN

INDIRECT TAX

REVENUE DEPARTMENT AGENCIES

FUNCTIONS REMAIN LEGALLY DISTINCT

CBIC + STATE ADMIN → indirect tax / GST

ED / DRI / DGGI → Revenue Department agencies

FUNCTIONS remain legally distinct

CONCEPT / ACCOUNTING BASIS	TRANSMISSION / RECONCILIATION	DISTRIBUTIONAL / STABILITY LIMIT
CBDT → Union direct taxes	ED / DRI / DGGI → Revenue Department agencies	CBDT → Union direct taxes
CBIC + STATE ADMIN → indirect tax / GST	FUNCTIONS remain legally distinct	CBIC + STATE ADMIN → indirect tax / GST

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ED / DRI / DGGI → Revenue Department agencies.

09

STAGE 09 ADMINISTRATION AND ENFORCEMENT

ADMINISTRATION AND ENFORCEMENT UNION DIRECT TAXES CBIC + STATE ADMIN INDIRECT TAX REVENUE DEPARTMENT AGENCIES FUNCTIONS REMAIN LEGALLY DISTINCT

CBDT → Union direct taxes

CBIC + STATE ADMIN → indirect tax / GST

ED / DRI / DGGI → Revenue Department agencies

FUNCTIONS remain legally distinct

CONCEPT / ACCOUNTING BASIS

- CBDT → Union direct taxes
- CBIC + STATE ADMIN → indirect tax / GST

TRANSMISSION / RECONCILIATION

- ED / DRI / DGGI → Revenue Department agencies
- FUNCTIONS remain legally distinct

DISTRIBUTIONAL / STABILITY LIMIT

- CBDT → Union direct taxes
- CBIC + STATE ADMIN → indirect tax / GST

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ED / DRI / DGGI → Revenue Department agencies.

10

STAGE 10 TAX-BASE EDGE CASES

TAX-BASE EDGE CASES ALLIED RURAL ACTIVITY AUTOMATIC AGRICULTURAL INCOME RURAL AGRICULTURAL LAND STATUTORY CONDITIONS EQUALISATION LEVY SPECIFIED DIGITAL-SERVICE HISTORY INDIRECT TRANSFER

ALLIED RURAL ACTIVITY != automatic agricultural income

RURAL AGRICULTURAL LAND → statutory conditions

EQUALISATION LEVY → specified digital-service history

INDIRECT TRANSFER → offshore form, Indian-value link

MEASURE / INSTITUTION

- ALLIED RURAL ACTIVITY != automatic agricultural income
- RURAL AGRICULTURAL LAND → statutory conditions

DECISIVE DISTINCTION

- EQUALISATION LEVY → specified digital-service history
- INDIRECT TRANSFER → offshore form, Indian-value link

VINTAGE / LEGAL LIMIT

- ALLIED RURAL ACTIVITY != automatic agricultural income
- RURAL AGRICULTURAL LAND → statutory conditions

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EQUALISATION LEVY → specified digital-service history; INDIRECT TRANSFER → offshore form, Indian-value link.

11

STAGE 11 FISCAL-FEDERAL ANSWER SPINE

FISCAL-FEDERAL ANSWER SPINE DEFINE BASE, INCIDENCE AND DESTINATION MAP COLLECTION, ITC AND SETTLEMENT SEPARATE DEVOLUTION, GRANTS AND CESSSES BALANCE HARMONISATION, AUTONOMY AND TRUST

DEFINE base, incidence and destination

MAP collection, ITC and settlement

SEPARATE devolution, grants and cesses

BALANCE harmonisation, autonomy and trust

CONCEPT / ACCOUNTING BASIS

- DEFINE base, incidence and destination
- MAP collection, ITC and settlement

TRANSMISSION / RECONCILIATION

- SEPARATE devolution, grants and cesses
- BALANCE harmonisation, autonomy and trust

DISTRIBUTIONAL / STABILITY LIMIT

- DEFINE base, incidence and destination
- MAP collection, ITC and settlement

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SEPARATE devolution, grants and cesses; BALANCE harmonisation, autonomy and trust.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT TAX DESIGN BALANCES REVENUE ADEQUACY, EQUITY, EFFICIENCY, SIMPLICITY, CERTAINTY DESTINATION TAXATION REDUCES PRODUCTION-LOCATION ADVANTAGE BUT REQUIRES ROBUST INTER VERTICAL IMBALANCE ARISES BECAUSE HIGHER LEVELS OFTEN HAVE STRONGER

HORIZONTAL DEVOLUTION CRITERIA BALANCE FISCAL CAPACITY, NEEDS, EQUITY, DEMOGRAPHY

TAX EXPENDITURES THROUGH EXEMPTIONS SHOULD BE EVALUATED LIKE EXPLICIT

COOPERATIVE INSTITUTIONS WORK BEST WHEN DATA, COMPENSATION RISKS AND

GST COUNCIL

OPTIONAL MODEL / MEASUREMENT DEPTH

- CAUTION: Tax design balances revenue adequacy, equity, efficiency, simplicity, certainty and
- CAUTION: Destination taxation reduces production-location advantage but requires robust inter
- CAUTION: Vertical imbalance arises because higher levels often have stronger tax bases while
- CAUTION: Horizontal devolution criteria balance fiscal capacity, needs, equity, demography and

VINTAGE, BASKET OR LEGAL LIMIT

- CAUTION: Tax expenditures through exemptions should be evaluated like explicit spending.
- CAUTION: Cooperative institutions work best when data, compensation risks and compliance burdens
- GST Council: federal forum for recommendations on the GST framework.
- CBIC and state GST administrations: administer indirect taxes and compliance.

COMPARATIVE POLICY NUANCE

- CBDT: administers Union direct taxes.
- Finance Commission: recommends tax devolution and grants; it does not set GST rates.
- CAUTION: A destination-based GST sends revenue towards the state where final consumption occurs
- CAUTION: Input credit reduces tax-on-tax only when invoices, eligibility and compliance

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.